



Paper ID : 260574

Subject Code: BMB204

Roll No:

MBA

(SEM. II) THEORY EXAMINATION 2025-26

FINANCIAL MANAGEMENT & CORPORATE FINANCE

TIME: 3 HRS

M.MARKS: 70

Note: 1. Attempt all Sections. If require any missing data; then choose suitably.

SECTION A

1. Attempt *all* questions in brief.

2x 7 = 14

(a)	Define the scope of corporate finance in a modern business environment.	CO1	K2
(b)	Briefly explain the agency problem and its impact on corporate governance.	CO1	K2
(c)	What is the significance of the time value of money in financial decision-making?	CO2	K2
(d)	Distinguish between NPV and IRR as capital budgeting techniques.	CO2	K2
(e)	Define financial leverage and its role in risk analysis.	CO3	K2
(f)	State the core argument of the bird-in-hand theory of dividends.	CO4	K2
(g)	Define the working capital cycle and its importance to liquidity.	CO5	K2

SECTION B

2. Attempt any *three* of the following:

7 x 3 = 21

(a)	Discuss the variables affecting financial markets and the integration of Indian markets with global markets.	CO1	K2
(b)	Explain the concept of opportunity cost and the process of calculating the composite cost of capital.	CO2	K4
(c)	Analyze the relevance and irrelevance theories of capital structure with suitable examples.	CO3	K5
(d)	Compare the Walter and Gordon Models of dividend relevance. How do they differ from the MM Hypothesis?	CO4	K5
(e)	Describe the principles of working capital management and the components of a firm's credit policy.	CO5	K2

SECTION C

3. Attempt any *one* part of the following:

7 x 1 = 7

(a)	Elaborate on the linkage between economy and financial markets. How does corporate strategy influence finance functions?	CO1	K2
(b)	Describe the various measures of return commonly used in financial analysis.	CO1	K2

P.T.O.

4. Attempt any one part of the following:**7 x 1 = 7**

(a)	Discuss risk analysis in investment decisions and how cash flows are identified as profit components.	CO2	K4					
(b)	A company is considering an investment of ₹ 12,00,000 in a project that is expected to generate the following cash inflows over the next five years: <table><tr><td>Year 1: ₹ 3,00,000</td></tr><tr><td>Year 2: ₹ 4,50,000</td></tr><tr><td>Year 3: ₹ 5,00,000</td></tr><tr><td>Year 4: ₹ 3,50,000</td></tr><tr><td>Year 5: ₹ 2,00,000</td></tr></table> If the company's cost of capital is 10%, calculate the Net Present Value of the project and advise whether the investment should be made. (PVIF @ 10% : Year 1: 0.9091 Year 2: 0.8264 Year 3: 0.7513 Year 4: 0.6830 Year 5: 0.6209)	Year 1: ₹ 3,00,000	Year 2: ₹ 4,50,000	Year 3: ₹ 5,00,000	Year 4: ₹ 3,50,000	Year 5: ₹ 2,00,000	CO2	K2
Year 1: ₹ 3,00,000								
Year 2: ₹ 4,50,000								
Year 3: ₹ 5,00,000								
Year 4: ₹ 3,50,000								
Year 5: ₹ 2,00,000								

5. Attempt any one part of the following:**7 x 1 = 7**

(a)	The following financial information is available for a firm: Annual Sales: ₹ 25,00,000 Variable Cost: 40% of Sales Fixed Operating Costs: ₹ 5,00,000 10% Debt Capital: ₹ 15,00,000 Calculate the Operating Leverage, Financial Leverage, and Combined Leverage. Interpret the results if the sales increase by 10%.	CO3	K4
(b)	What is the point of indifference in EBIT-EPS analysis? Explain its utility in choosing a capital structure.	CO3	K2

6. Attempt any one part of the following:**7 x 1 = 7**

(a)	Discuss the factors affecting dividend policy and the various forms dividends can take in a corporation.	CO4	K2
(b)	Evaluate the Tax Preference Theory and the Dividend Irrelevance Theory in the context of modern finance.	CO4	K5

7. Attempt any one part of the following:**7 x 1 = 7**

(a)	Explain the classification of working capital and the various methods used for financing working capital.	CO5	K2
(b)	Discuss the importance of accounts receivable management with particular reference to factoring.	CO5	K2